SUMMARY

In this reading, we discussed the capital asset pricing model in detail and covered related topics such as the capital market line. The reading began with an interpretation of the CML, uses of the market portfolio as a passive management strategy, and leveraging of the market portfolio to obtain a higher expected return. Next, we discussed systematic and nonsystematic risk and why one should not expect to be compensated for taking on nonsystematic risk. The discussion of systematic and nonsystematic risk was followed by an introduction to beta and return-generating models. This broad topic was then broken down into a discussion of the CAPM and, more specifically, the relationship between beta and expected return. The final section included applications of the CAPM to capital budgeting, portfolio performance evaluation, and security selection. The highlights of the reading are as follows:

- The capital market line is a special case of the capital allocation line, where the efficient portfolio is the market portfolio.
- Obtaining a unique optimal risky portfolio is not possible if investors are permitted to have heterogeneous beliefs because such beliefs will result in heterogeneous asset prices.
- Investors can leverage their portfolios by borrowing money and investing in the market.
- Systematic risk is the risk that affects the entire market or economy and is not diversifiable.
- Nonsystematic risk is local and can be diversified away by combining assets with low correlations.
- Beta risk, or systematic risk, is priced and earns a return, whereas nonsystematic risk is not priced.
- The expected return of an asset depends on its beta risk and can be computed using the CAPM, which is given by $E(R_i) = R_f + \beta_i[E(R_m) - R_f]$.
- The security market line is an implementation of the CAPM and applies to all securities, whether they are efficient or not.
- Expected return from the CAPM can be used for making capital budgeting decisions.
- Portfolios can be evaluated by several CAPM-based measures, such as the Sharpe ratio, the Treynor ratio, M^2, and Jensen's alpha.
- The SML can assist in security selection and optimal portfolio construction.

By successfully understanding the content of this reading, you should feel comfortable decomposing total variance into systematic and nonsystematic variance, analyzing beta risk, using the CAPM, and evaluating portfolios and individual securities.

Rate Your Confidence
High
Medium
Low
Continue »

Category
Portfolio Risk and Return: Part II

Related Questions:
Practice questions related to this topic

Discuss
Filter
Discussion
What do you want to discuss... (required)

CW Several questions in this part did not take into account for Rf when calculating Er or Marketr E(Ri) = Rf + βi[E(Rm) – Rf] pls check

Created 2 months ago by carl wikland
0 replies | Last Activity: 2 months ago
Reply to this Comment

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search